sector has taken up that market share, he says. "Companies, which don't see much traction in demand and are operating with surplus capacity, will be slow in fresh investment and prefer to accumulate cash balances and deploy them when conditions change," says Madan Sabnavis, chief economist with Bank of Baroda. Cash balances are a reflection of the health of the corporate sector, which is satisfactory today (see *Sitting Pretty on Cash*). However, investment decisions are based on commercial considerations, he explains.

Private investment, consumption, government spending and net exports form the four key components of economic growth. There was much hope that the NDA government that came to power in 2014 would revive private investment that had slipped into a long winter towards the end of the UPA regime. The new government was expected to revive the so-called "animal spirits" of entrepreneurs to put money into the country's growth. There were two key reforms that the government brought in to drive private investment. One was the reduction in September 2019 of base corporate tax to 22 per cent from 30 per cent for companies that do not seek exemptions, and 25 per cent from the earlier 35 per cent for those that receive incentives or exemptions. For new manufacturing firms, the tax was cut to 15 per cent from 25 per cent. The tax cuts cost the government Rs 1.45 lakh crore.

The other big announcement from the Centre was the production-linked incentive (PLI) scheme in order to enable Indian companies to boost manufacturing capabilities so that they can address the needs of the domestic market as well as take on their rivals in the export market. As part of the Aatmanirbhar Bharat Abhiyan, the Centre announced an outlay of Rs 1.97 lakh crore for the PLI scheme across 14 key sectors, where incentives would be given based on the output. While it may be too early to gauge the success of the scheme (for a five-year period), the progress has been slow in some sectors.

This is not to say that investment has totally dried up. Big corporates have been prepared to take bigger risks, as is evident from their announcements. For instance, the Adani Group, led by Gautam Adani, the world's third richest person, will invest Rs 5.6 lakh crore in green energy and infrastructure, while rival Mukesh Ambani-led Reliance Industries has announced a mega rollout of 5G mobile telephony network with an investment of Rs 2 lakh crore by end-October and an additional Rs 6 lakh crore investment in green energy. But the problem is, apart from the big few corporates who can fund their investments through debt or from their huge cash reserves, the majority of Indian companies seem to be totally risk-averse and are shying away from investing.



"CORPORATES ARE SAYING THIS IS A GREAT TIME TO MAKE MONEY AND THERE IS NO NEED TO INVEST. THEY CAN BORROW WHATEVER THEY WANT, BUT THEY DON'T FIND IT ATTRACTIVE TO INVEST AS YET"

MAHESH VYAS, *MD & CEO, CMIE*

"WE CAN'T EXPECT INVESTMENT TO PICK UP IN A YEAR WHEN THERE ARE SO MANY RISKS... THE UNCERTAINTY COMING FROM INFLATION AND FROM GEOPOLITICAL DEVELOPMENTS"



D.K. JOSHI, *Chief Economist, Crisil*

WHY THE SLUGGISH SPEND

The answer to Sitharaman's question will also put in perspective why the country's economy, despite making a recovery from the deep bruises of the pandemic, is still facing uncertainty on how sustainable that revival is. The growth numbers for the economy in the April-June quarter of the current fiscal came in at 13.5 per cent due to a low base last year, but still much below the Reserve Bank of India's (RBI) prediction of 16.2 per cent. The trend, if it continues, could pull down yearly growth from the much-touted 7 per cent. Whatever recovery the country has made in the past few months post-Covid can be sustainable only if there is adequate private investment. But what's holding it back?

Global uncertainty for one. It is cited as one of the key factors for the lag in investment. Russia's invasion of Ukraine in late February led to commodity prices first peaking, but later cooling on the threat of an impending recession. Oil prices had risen to $130 a barrel post the Ukraine war, but have now fallen to around $86. However, not many are ready to bet on how the oil prices are likely to move, considering that Russian president Vladimir Putin has recently signalled a further escalation of the war. Such volatility throws all fiscal calculations awry in a country like India, which imports nearly 80 per cent of its crude oil requirements. "We can't expect investment to pick up in a year when there are so many risks," says D.K. Joshi, chief economist at Crisil. "This is a very uncertain environment. Investments look for a more stable environment." He adds that the pick-up in the economy is not broad-based as yet, although consumption demand has got better and capacity